MIDDLETOWN UNIFIED SCHOOL DISTRICT SCHOOL BOND MEASURE "C"

"To improve the quality of education; repair/replace leaky roofs; construct/improve science, technology, engineering, arts, mathematics, agriculture, and career technical education facilities; and replace outdated heating, ventilation and air-conditioning systems; shall Middletown Unified School District's measure authorizing $38,000,000 of bonds, at legal rates, and levying approximately $49 per $100,000 of assessed value ($2,155,000 annually) while bonds are outstanding, be adopted, with annual audits, independent citizens' oversight, NO money for administrator salaries and all money spent locally?"

Yes____ No____

EXHIBIT A
FULL TEXT OF SCHOOL IMPROVEMENT BOND MEASURE

MIDDLETOWN UNIFIED SCHOOL DISTRICT SCHOOL RENOVATION, SAFETY, AND UPGRADE MEASURE

This school improvement bond measure may be known and referred to as the "Middletown Unified School District School Renovation, Safety, and Upgrade Measure" or as "Measure C".

BOND AUTHORIZATION

By approval of this school improvement bond measure by at least 55% of the voters of the Middletown Unified School District (the "District") voting on the measure, the District shall be authorized to issue and sell bonds of up to $38,000,000 in aggregate principal amount to provide financing for the specific school facilities projects listed under the heading entitled "BOND PROJECT LIST" below (the "Bond Project List"), and allow the District to qualify to receive potential State of California matching grant funds, subject to all of the accountability safeguards specified below.

ACCOUNTABILITY SAFEGUARDS

The provisions in this section are specifically included in this school improvement bond measure in order that the voters and taxpayers of the District may be assured that their money will be spent to address specific school facilities needs of the District, all in compliance with the requirements of Article XIIIA, Section 1(b)(3) of the Constitution of the State of California (the "California Constitution"), and the Strict Accountability in Local School Construction Bonds Act of 2000 (codified at Sections 15264 and following of the California Education Code).

Evaluation of Needs. The Board of Trustees of the District (the "Board") has evaluated the facilities needs of the District to determine which projects to finance from a local bond at this time. To address the facilities needs of the District, the Board deems it necessary and advisable to fund the specific school facilities projects listed in the Bond Project List. The Board hereby certifies that it has evaluated safety, class size reduction and information technology needs in developing the Bond Project List.

Limitations on Use of Bonds. Proceeds from the sale of bonds authorized by this school improvement bond measure shall be used only for the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities, and not for any other purpose, including teacher and administrator salaries and other school operating expenses. More specifically, the Bond Project List provides for the specific projects the District proposes to finance with proceeds from the sale of bonds authorized by this school improvement bond measure and such proceeds shall be applied only to those specific purposes.

Independent Citizens' Oversight Committee. In accordance with and pursuant to California Education Code Section 15278 *et seq.*, the Board shall establish an independent citizens' oversight committee, within 60 days of the date that the Board enters the election results on its minutes pursuant to Section 15274 of the California Education Code, to ensure that (a) bond revenues are expended only for the purposes specified in Article XIIIA, Section 1(b)(3) of the California Constitution, and (b) that no funds are used for any teacher or administrative salaries or other school operating expenses. In accordance with Section 15282 of the California Education Code, the citizens' oversight committee shall consist of at least seven members and shall include a member active in a business organization representing the business community located within the District, a member active in a senior citizens' organization, a member active in a bona fide taxpayers' organization, a member that is a parent or guardian of a child enrolled in the District, and a member that is both a parent or guardian of a child enrolled in the District and active in a parent-teacher organization. The committee may be comprised of the same members of the citizens' oversight committees for other District bond measures. No employee or official of the District and no vendor, contractor or consultant of the District shall be appointed to the citizens' oversight committee.

Annual Performance Audits. In compliance with the requirements of Article XIIIA, Section 1(b)(3)(C) of the California Constitution, and the Strict Accountability in Local School Construction Bonds Act of 2000, the Board shall conduct an annual, independent performance audit to ensure that the proceeds from the sale of bonds authorized by this school improvement bond measure have been expended only on the school facilities projects listed in the Bond Project List. These audits shall

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be conducted in accordance with the Government Auditing Standards issued by the Comptroller General of the United States for performance audits. The results of these audits shall be made publicly available and shall be submitted to the citizens' oversight committee in accordance with Section 15286 of the California Education Code.

Annual Financial Audits. In compliance with the requirements of Article XIIIA, Section 1(b)(3)(D) of the California Constitution, and the Strict Accountability in Local School Construction Bonds Act of 2000, the Board shall conduct an annual, independent financial audit of the proceeds from the sale of bonds authorized by this school improvement bond measure until all of those proceeds have been spent for the school facilities projects listed in the Bond Project List. These audits shall be conducted in accordance with the Government Auditing Standards issued by the Comptroller General of the United States for financial audits. The results of these audits shall be made publicly available and shall be submitted to the citizens' oversight committee in accordance with Section 15286 of the California Education Code.

Special Bond Proceeds Account; Annual Report to Board. In compliance with the requirements of California Government Code Section 53410 and following, upon approval of this school improvement bond measure and the sale of any bonds approved, the Board shall take actions necessary to establish an account in which proceeds of the sale of bonds authorized by this school improvement bond measure shall be deposited. In compliance with the requirements of California Government Code Section 53411, as long as any proceeds of the bonds remain unexpended, the chief fiscal officer of the District shall cause a report to be filed with the Board at least once a year, stating (a) the amount of funds collected and expended in that year, and (b) the status of any project required or authorized to be funded from bond proceeds. The report may relate to the calendar year, fiscal year, or other appropriate annual period as the chief fiscal officer of the District shall determine, and may be incorporated into the annual budget, audit, or other appropriate routine report to the Board.

FURTHER SPECIFICATIONS

Single Purpose. All of the purposes enumerated in this school improvement bond measure shall be united and voted upon as one single measure, pursuant to California Education Code Section 15100, and all the enumerated purposes shall constitute the specific single purpose of the bonds, and the proceeds from the sale of bonds authorized by this school improvement bond measure shall be spent only for such purpose, pursuant to California Government Code Section 53410.

Bonds may be Issued in Excess of Statutory Bonding Limit. Issuance of all of the authorized bonds might require the outstanding debt of the District to exceed its statutory bonding limit (currently 2.50% of the total assessed valuation of taxable property in the District). In that event, the District intends to seek a waiver of its bonding limit from the State Board of Education, which has the power to waive certain requirements of the California Education Code applicable to the District. By approval of this school improvement bond measure, the voters have authorized the District to seek such a waiver, and to issue authorized bonds in excess of the District's statutory bonding limit as the State Board of Education may approve. No such waiver has yet been sought or granted.

Other Terms of the Bonds. When sold, the bonds shall bear interest at an annual rate not exceeding the statutory maximum, and that interest shall be made payable at the time or times permitted by law. The bonds may be issued and sold in several series, and no bond shall be made to mature more than the statutory maximum number of years from the date borne by that bond.

BOND PROJECT LIST

The Bond Project List below lists the specific projects the District proposes to finance with proceeds of the bonds. The Bond Project List shall be considered a part of this school improvement bond measure and shall be reproduced in any official document required to contain the full statement of the school improvement bond measure. Listed projects will be completed as needed at a particular school or school facility site according to Board-established priorities, and the order in which such projects appear on the Bond Project List is not an indication of priority for funding or completion. Insofar as permitted by law, each project is assumed to include its share of costs of the election and bond issuance, construction-related costs, such as project and construction management, architectural, engineering, permitting and entitlements, inspection and similar planning and testing costs, demolition and interim facility costs, legal, accounting and similar fees, costs related to the independent annual financial and performance audits, a contingency for unforeseen design and construction costs, and other costs incidental to or necessary for completion of the listed projects (whether the related work is performed by the District or third parties). The final cost of each project will be determined as plans are finalized, construction bids are awarded, and projects are completed. In addition, certain project funds expected from non-local bond sources have not yet been secured. Therefore, the Board cannot guarantee that the bond proceeds will provide sufficient funds to allow completion of all listed projects. Alternatively, if the District obtains unexpected funds from non-local bond sources with respect to listed projects, such projects may be enhanced, supplemented or expanded to the extent of such funds. Some projects may be subject to further government approvals, including by State officials and boards and/or local environmental or agency approval. Inclusion of a project on the Bond Project List is not a guarantee that the project will be completed (regardless of whether bond funds are available).

The specific projects authorized to be financed with proceeds from

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the sale of bonds authorized by this school improvement bond measure are as follows:

DISTRICTWIDE PROJECTS

The following renovation, safety and upgrade projects are authorized to be financed at all school facilities sites Districtwide:

- Repair or replace leaky roofs.
- Construct/improve science, technology, engineering, arts and mathematics (STEAM), agriculture, and career technical education (CTE) facilities.
- Make health, safety and security improvements.
- Repair or replace outdated heating, ventilation, and air-conditioning systems.
- Modernize/renovate outdated classrooms, restrooms and school facilities, including multi-purpose rooms.
- Replace temporary portables with permanent classrooms.
- Replace outdated and energy-inefficient windows.
- Upgrade playgrounds and playfields for school and community use.
- Make Federal and State-mandated Americans with Disabilities Act (ADA) and other accessibility upgrades and improvements, including site access, parking, staff and student restrooms, relocation of some existing electrical devices, drinking fountains, playground equipment, etc.
- Repair or replace deteriorating plumbing, sewer, and drainage systems.
- Replace existing utility/wiring systems to meet current electrical and accessibility codes requirements and increased capacity needs.
- Make Federal and State-mandated Occupational Safety & Health Administration (OSHA) safety upgrades and improvements, including playground equipment replacement.
- Upgrade and improve school site parking, roadways, utilities and grounds.

MISCELLANEOUS

All listed bond projects include the following as needed:

- Planning and designing necessary for listed bond projects.
- The inspection, sampling and analysis of grounds, buildings and building materials to determine the presence of hazardous materials or substances, including asbestos, lead, etc., and the encapsulation, removal, disposal and other remediation or control of such hazardous materials and substances.
- Seismic and historical evaluations, site surveys (including topographic, geological and utility surveys), and infrastructure analyses.
- Necessary onsite and offsite preparation or restoration in connection with new construction, renovation or remodeling, or installation or removal of relocatable buildings or other temporary buildings, including demolition of structures; removing, replacing, or installing irrigation, drainage, utility lines (gas, water, sewer, electrical, data and voice, etc.), trees and landscaping; and relocating fire access roads or ingress/egress pathways.
- Address other unforeseen conditions revealed by construction, renovation or modernization (including plumbing or gas line breaks, dry rot, seismic and structural deficiencies, etc.).
- Acquire or construct other improvements required to comply with building codes, including seismic safety requirements, the Field Act, and access requirements.
- Acquisition of any rights-of-way, easements, licenses and/or real property made necessary by listed bond projects, or lease of real property made necessary by the listed bond projects.
- Acquire or construct storage facilities and other space on an interim basis, as needed to accommodate construction materials, equipment, and personnel.
- Furnishing and equipping of classrooms and other school facilities; furnishing and equipping shall include initial purchases, and scheduled and necessary replacements, upgrades and updating of technology.
- Acquisition of all or a portion of any school site or facility, or an interest therein, or make lease payments with respect to any school site or facility, encumbered in order to finance or refinance the listed school facilities projects.
- All other costs and work necessary or incidental to the listed bond projects.

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PROJECTS INVOLVING RENOVATION, REHABILITATION OR REPAIR

For any project involving renovation, rehabilitation or repair of a building or the major portion of a building, the District shall be authorized to proceed with new replacement construction instead (including any necessary demolition) if the Board determines that replacement new construction is more practical than renovation, rehabilitation or repair, considering the building's age, condition, expected remaining life, comparative cost and other relevant factors.

GENERAL PROVISIONS

Interpretation. The terms of this school improvement bond measure and the words used in the Bond Project List shall be interpreted broadly to effect the purpose of providing broad and clear authority for the officers and employees of the District to provide for the school facilities projects the District proposes to finance with the proceeds of the sale of bonds authorized by this school improvement bond measure within the authority provided by law, including Article XIIIA, Section 1(b)(3) of the California Constitution, California Education Code Section 15000 *et seq*. and the Strict Accountability in Local School Construction Bonds Act of 2000. Without limiting the generality of the foregoing, such words as repair, improve, upgrade, expand, modernize, renovate, and reconfigure are used in the Bond Project List to describe school facilities projects in plain English and are not intended to expand the nature of such projects beyond, or have an effect on, and shall be interpreted to only permit, what is authorized under Article XIIIA, Section 1(b)(3) of the California Constitution, California Education Code Section 15000 *et seq*. and the Strict Accountability in Local School Construction Bonds Act of 2000. In this regard, the Bond Project List does not authorize, and shall not be interpreted to authorize, expending proceeds of the sale of bonds authorized by this school improvement bond measure for current maintenance, operations or repairs. The school facilities projects on the Bond Project List only authorize capital expenditures.

Estimated Ballot Information. The Board hereby declares, and the voters by approving this school improvement bond measure concur, that the information included in the statement of the bond measure to be voted on pursuant to Section 13119 of the California Elections Code is based upon the District's projections and estimates only and is not binding upon the District. The amount of money to be raised annually and the rate and duration of the tax to be levied for the bonds may vary from those presently estimated due to variations from these estimates in the timing of bond sales, the amount of bonds sold and market interest rates at the time of each sale, and actual assessed valuations over the term of repayment of the bonds. The dates of sale and the amount of bonds sold at any given time will be determined by the District based on need for project funds and other factors. The actual interest rates at which the bonds will be sold will depend on the bond market at the time of each sale. Actual future assessed valuation will depend upon the amount and value of taxable property within the District as determined by the County Assessor in the annual assessment and the equalization process.

Headings. The headings or titles of the sections of the bond measure, including any headings or titles included in the Bond Project List, are solely for convenience of reference and shall not affect the meaning, construction or effect of the bond measure.

Severability. The Board and the voters hereby declare that every portion, section, subdivision, paragraph, clause, sentence, phrase, word, application and individual project (individually referred to as "Part" and collectively as "Parts"), of this school improvement bond measure has independent value, and the Board and the voters would have adopted each Part hereof regardless of whether any other Part of this school improvement bond measure would be subsequently declared invalid. Upon approval of this school improvement bond measure by the voters, should any Part of this school improvement bond measure be found by a court of competent jurisdiction to be invalid for any reason, all remaining Parts hereof shall remain in full force and effect to the fullest extent allowed by law, and to this end the Parts of this school improvement bond measure are severable.

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IMPARTIAL ANALYSIS OF SCHOOL BOND MEASURE "C"

Measure "C", a Middletown Unified School District ("District") bond measure, seeks voter approval to authorize the District to issue general obligation bonds in an aggregate principal amount not to exceed $38,000,000 to provide financing for the specific school facilities projects listed in the Bond Project List of the Ballot Measure at interest rates within the statutory maximum per year. The maximum term of the bonds will not exceed the legal limit.

Both the School Bond Law and the General Obligation Bond Law authorize the governing board of a school district to issue and sell general obligation bonds to finance various school acquisitions and improvements if approved by at least 55 percent of the voters voting on the measure, provided certain accountability safeguards are included in the measure.

The measure includes the following accountability safeguards:

1. That the proceeds from the bond sale shall be used only for the purposes listed in the bond measure and not for any other purpose.
2. A list of the specific projects to be funded (the "Bond Project List") and certification that the Governing Board of the District has evaluated safety, class size reduction, and information technology needs in developing that list.
3. That the Governing Board of the District shall establish an independent citizens' oversight committee to ensure that (a) bond revenues are expended on for the purposes specified in Article XIIIA, Section 1(b)(3) of the California Constitution, and (b) that no funds are used for any teacher or administrative salaries or other school operating expenses.
4. That the Governing Board of the District conduct an annual, independent financial audit of the proceeds from the sale of the bonds until all of such proceeds from the sale have been spent for the projects listed in the measure.
5. That the Governing Board of the District conduct an annual, independent financial audit of the proceeds from the sale of the bonds to ensure that the proceeds from the sale of bonds authorized by this school improvement bond measure have been expended only on school facilities projects listed in the Bond Project List.
6. That the District will establish an account from which the proceeds from the bonds shall be maintained, and shall issue and file a report in accordance with Government Code Section 53411.

A "Yes" vote on this measure is a vote in support of the issuance and sale of up to $38,000,000 in bonds to be used only for the purpose of providing financing for the specific school facilities projects listed in the Bond Project List of the Ballot Measure.

A "No" vote on this measure is a vote against the issuance and sale of up to $38,000,000 in bonds to be used only for the purpose of providing financing for the specific school facilities projects listed in the Bond Project List of the Ballot Measure.

s/ LLOYD C. GUINTIVANO
County Counsel
County of Lake

EXHIBIT B

TAX INFORMATION STATEMENT

An election will be held in the Middletown Unified School District (the "District") on November 3, 2026, to authorize the sale of up to $38,000,000 in bonds of the District to finance school facilities as described in the measure. If the bond measure is approved by at least 55% of the voters of the District voting on the bond measure, the District expects to issue the bonds in multiple series over time. Principal and interest on the bonds will be payable from the proceeds of tax levies made upon the taxable property in the District. The following information is provided in compliance with Sections 9400 through 9405 of the California Elections Code.

1. The best estimate of the average annual tax rate that would be required to be levied to fund this bond issue over the entire duration of the bond debt service, based on assessed valuations available at the time of filing this statement, is $47.33 per $100,000 of assessed valuation. The final fiscal year in which the tax to be levied to fund this bond issue is anticipated to be collected is fiscal year 2061-62.

2. The best estimate of the highest tax rate that would be required to be levied to fund this bond issue, based on estimated assessed valuations available at the time of filing this statement, is $49.00 per $100,000 of assessed valuation in fiscal year 2026-27.

3. The best estimate of the total debt service, including the principal and interest, that would be required to be repaid if all of the bonds are issued and sold is approximately $77,562,917.

Voters should note that estimated tax rates are based on the *ASSESSED VALUE* of taxable property on the County's official tax rolls, *not* on the property's market value, which could be more or less than the assessed value. In addition, taxpayers eligible for a property tax exemption, such as the homeowner's exemption, will be taxed at a lower effective tax rate than described above. Property owners should consult their own property tax bills and tax advisors to determine their property's assessed value and any applicable tax exemptions.

Attention of all voters is directed to the fact that the foregoing information is based upon the District's projections and estimates only, which are not binding upon the District. The average annual tax rate, the highest tax rate, the final fiscal year in which the tax is anticipated to be collected and the year or years in which they will apply, and the actual total debt service, may vary from those presently estimated for a variety of reasons, including, without limitation, due to variations in the timing of bond sales, the amount or amortization of bonds sold, market conditions at the time of each sale, and actual assessed valuations over the term of repayment of the bonds. The dates of sale and the amount or amortization of bonds sold at any given time will be determined by the District based on need for project funds and other factors, including the legal limitations on bonds approved by a 55% affirmative vote. Market conditions, including, without limitation, interest rates, are affected by economic and other factors beyond the control of the District and will depend on the bond market at the time of each sale. Actual future assessed valuation will depend upon the amount and value of taxable property within the District as determined by the County Assessor in the annual assessment and the equalization process. The growth or decline in assessed valuation is the result of a number of economic and other factors outside the control of the District.

Dated: August 5, 2026.

s/ Jeff Crane
Superintendent
Middletown Unified School District

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ARGUMENT IN FAVOR OF MEASURE C
MIDDLETOWN UNIFIED SCHOOL DISTRICT

Our schools are some of the most important assets in our community and should be our number one priority. Quality schools improve student achievement, improve property values, prepare children for a productive future, and create greater neighborhood safety. Although our teachers and staff do a great job educating local students, many classrooms and school facilities in the Middletown Unified School District are outdated and inadequate to provide students with the proper school facilities they need to succeed.

Although our schools have been well maintained over the years, aging classrooms and facilities must be upgraded since many do not meet 21st century education and technology standards. Measure C would allow the District to improve our local schools and the quality of education provided to local students. By investing in our schools, we can meet today's safety, technological, and educational standards and improve our community.

If passed, Measure C will provide funding to make critical facility improvements at Middletown schools by:

- Repairing or replacing leaky roofs
- Replacing outdated heating, ventilation and air-conditioning systems
- Modernizing outdated classrooms, restrooms and school facilities, including multi-purpose rooms
- Constructing/improving Science, Technology, Engineering, Arts and Mathematics (STEAM), Agriculture, and Career Technical Education (CTE) facilities
- Replacing temporary portables with permanent classrooms

Measure C makes financial sense and protects taxpayers.

- By law, spending must be reviewed and annually audited by an independent citizens' oversight committee.
- All bond funds must be spent locally and **cannot be taken by the State.**
- Funds are required to be spent only on schools, not for administrator or teacher salaries.

Measure C upgrades and renovates old and inadequate classrooms, improves the education of local students, and maintains the quality of our community. That's something we can all support. Please join us and **VOTE YES ON MEASURE C!**

S/ Zoi Bracisco
School Board President

S/ Jose Simon III
Chairman Middletown Rancheria

S/ Kurtis Woodard
Business Owner/Citizens Bond Oversight Committee

NO ARGUMENT AGAINST MEASURE C WAS SUBMITTED